

Retail Equity Research

ICICI Bank Limited

Generated: 13 June 2026

Sector: Banking

Recommendation
Positive

Company Overview

ICICI Bank Limited is an Indian financial institution engaged in retail, wholesale, and treasury banking operations. It reported robust profit growth, strong deposit and loan expansion, and improving asset quality in Q2 FY26. The bank also focuses on environmental, social, and governance (ESG) initiatives, aiming for carbon neutrality by FY2032.

Investment Thesis

- Strong earnings growth with Q2-2026 profit after tax up 5.2% y-o-y and core operating profit up 6.5% y-o-y.
- Robust growth in deposits (average 9.1% y-o-y) and domestic loans (10.6% y-o-y), driven by business banking and retail segments.
- Improving asset quality with net NPA ratio at 0.39% and provision coverage ratio at 75.0% at Sep 30, 2025.

Financial Metrics

Metric	Value
Revenue	288.85
Revenue Growth	8.8%
EBITDA	170.78
EBITDA Margin	59.12%
PAT	123.59
PAT Growth	5.2%

Outlook

ICICI Bank is evaluating options for accessing green power in certain locations and increasing focus on water and waste circularity initiatives as part of its roadmap to achieve carbon neutrality by FY2032. The Board maintains regular oversight on ESG and climate risk developments.

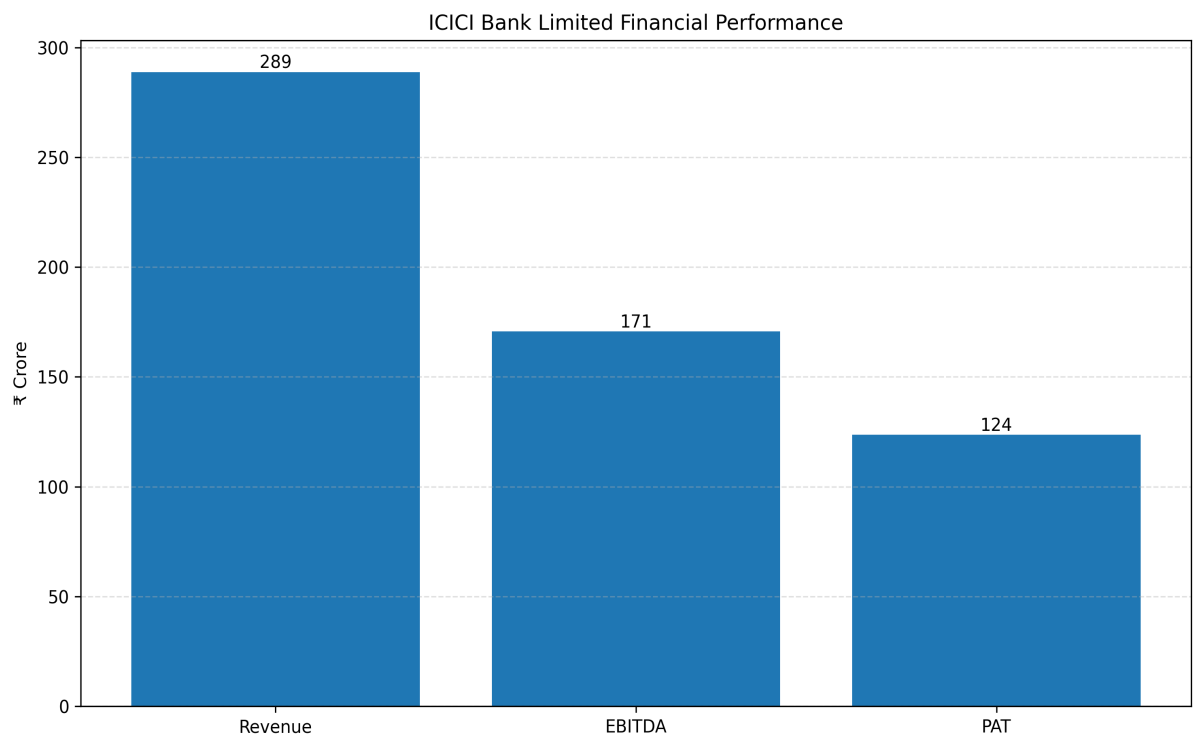
Key Highlights

- Profit after tax grew by 5.2% y-o-y to ■ 123.59 bn in Q2-2026.
- Core operating profit grew by 6.5% y-o-y to ■ 170.78 bn in Q2-2026.
- Domestic loans grew by 10.6% y-o-y and 3.3% q-o-q.
- Net NPA ratio was 0.39% at Sep 30, 2025, an improvement from 0.41% at Jun 30, 2025.

Growth Drivers

- Leveraging branch network and digital platforms such as InstaBIZ, Merchant STACK, and Trade Online for business banking growth.
- Focus on parameterised and programme based lending, granularity, collateral, and robust monitoring in business banking.
- Growth in retail credit card spends driven by collaborations with leading brands, extending UPI on credit card, and increasing EMI campaigns.

Financial Performance



Risks

- Statutory and regulatory changes.
- Increase in non-performing loans.
- Unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices.